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DEPARTMENT OF STATE

Memorandum of Conversation

DATE: September 21, 1954

SUBJECT: Transmittal of Record of Conversations which Took Place at Taipei between Generalissimo Chiang Kai-shek and Secretary of State Dulles

PARTICIPANTS: Minister Tan, Chinese Embassy
FE - Everett F. Drumright

COPIES TO:

FE 3	(cc)	Amembassy, Taipei (cc)
S/S	(cc)	JCS - Admiral Radford (cc)
CA	(cc)	Defense - Secretary Wilson (cc)
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Minister Tan called late this afternoon at his request and handed to Mr. Drumright two copies of a "Record of the Conversation Which Took Place When the President (Chiang) Received Mr. John Foster Dulles, U.S. Secretary of State". The two copies of the record of conversation are transmitted under cover of a letter signed by Ambassador V. K. Wellington Koo.

Mr. Drumright thanked Minister Tan for making copies of the record of the conversation available and said they would be passed on to the proper quarters.

Attachment:

Subject document.

FE:EFDrumright:evc

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TRANSLATION

Record of the Conversation Which Took Place When the President Received Mr. John Foster Dulles, U.S. Secretary of State

TIME: September 9, 1954, at 2:30 p.m.

PLACE: The Presidential Residence at Yangmingshan.

PRESENT: Vice President Chen Cheng
Chang Chun, Secretary-General to the President
O. K. Yui, President of the Executive Yuan
George K. C. Yeh, Minister of Foreign Affairs
Senator H. Alexander Smith
Douglas MacArthur II, Counselor of the Department of State
Ambassador Karl L. Rankin
Major General William C. Chase

INTERPRETER & RECORDER: Shen Chi

PRESIDENT: It is indeed a welcome event that you could come to visit Taiwan today.

MR. DULLES: When I was in the Philippines, many believed that, in my crowded schedule, I could do without visiting Taiwan. Especially Mr. Eden, the British Foreign Secretary, stated in a telegraphed message before my departure that my visit to Taiwan was not considered necessary. He suggested that I had better fly to London direct to take part in the conference on settlement of European questions. I felt, however, that I must not again miss the opportunity to visit Taiwan when I was already in the Far East.

PRESIDENT: It is my belief that, ever since your assuming the office of the U.S. Secretary of State, the American Government has achieved three things in the Far East. The truce in Korea; the non-involvement in the war in Indochina; and the conclusion of the Southeast Asia Defense Treaty. Concerning the first two, some have felt dissatisfied with the position of the U. S. Government. I personally believe, however, that the policy was correct in both respects.

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MR. DULLES: So long as you consider it correct, the criticism or dissatisfaction of the others is of no consequence to me.

MR. PRESIDENT: Your visit here today is very brief. As there are many subjects which I would like to discuss with you, I find it difficult to decide as to where to start. May I request, therefore, you feel free to bring up any questions you wish first. I shall answer them without reservation.

MR. DULLES: I wish to clarify a little further the American policy referred to a while ago. The policy of the United States could be clearly seen during the recent conference at Manila. At the height of the war in Indochina, the American Government did consider the question of whether troops should be dispatched there to take part in the fight. It was decided, however, that a prerequisite for the United States participation in a war overseas was that the countries where the war took place must be willing to fight hard themselves. Since the truce in Indochina, the United States has been endeavoring to create a situation in which countries of Southeast Asia would be able to shoulder their responsibilities, should there be another war in the area. The Southeast Asia Defense Treaty signed yesterday at Manila is indeed a result of such endeavors. On the other hand, however, I hope Your Excellency would not attach too much importance to such treaties. I recall certain countries with close ties to Southeast Asia strongly demanded, during the deliberation over the said treaty at Manila, that the United States make definite commitment on military and economic contributions for helping the defense of Southeast Asia. The United States did not agree, however. For, while she considers collective action as necessary to counter any further aggression in Southeast Asia, the kind of action the United States hopes for does not consist of American ground troops being dispatched to the invaded area to repel the enemy. It envisages instead effective blows struck at the source of the aggressive forces with mobile strength. In other words, it is not the present American strategy to dispatch and station ground forces in various danger areas of the world to try to stop enemy aggression. For the Communist bloc has the advantage of ample man-power and large armies; and the areas which have to be defended stretch from the Aleutian Islands through Southeast Asia, the Middle East and the Mediterranean to the Americans and are too far-spread for the limited man-power of the United States to defend all at once. The U. S.

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strategy places emphasis, therefore, on utilizing the mobile strength of the naval and air forces and on building up bases along the periphery of the Communist block countries, so that counter-attacks could be launched from different directions when called for. Thus, and thus only, could the wide areas be effectively controlled by relatively small forces. As to the ground forces, their role is not to remain stationary on particular bases, but to acquire the nature of a strategic force for efficient deployment. In accordance with this principle, the United States recently withdrew some units of ground forces from South Korea. President Syngman Rhee, though disagreeing with this action on public occasions, should realize that, by withdrawing the said units, the United States by no means intends to abandon the Republic of Korea. For, should South Korea be invaded again, the United States would most certainly use her air force and all kinds of missiles to destroy the Chinese Communist industrial and power centers north of the Yalu River. We believe that deterrent measures of this nature are much more effective than the stationing of ground troops. Within the Communist bloc, Russian troops are the first team, the Chinese Communist troops the second team, and the troops of North Korea and Vietminh the third team. It is no bargain for the precious man-power of the United States to be tied down by any third-team forces of the Communists.

In regard to the Chinese Communists on the mainland, we have to watch closely the development of the situation and our position must be based on patience and vigilance. We could well expect the enemy to commit blunders often and to create opportunities for us. At the same time we must ourselves refrain from taking any rash action. For any inopportune action could invite failure. I do not believe the Chinese Communists could indefinitely hold the people on the mainland under control. Chinese being individualists, Communism runs diagonally contrary to the character of the Chinese people. Our opportunity may come this year; it may not come until after five years. One thing is important: We hope that Your Excellency would clearly see the direction of the tide. It is easier to achieve the objective by following the tide; much harder by going against it.

At the same time, the United States will unequivocally reaffirm her position not to befriend the Chinese Communists and not to fear their threat. Recently, when the Cathay Pacific plan e was struck down by the Communists, causing the loss of several American lives, I

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suggested to Admiral Radford to dispatch the U.S. Navy to the area of the incident, both for rescuing possible survivors and for making publicly known the American determination regardless of consequences. More recently, the U.S. Navy made even more positive gestures in regard to the outer islands of Taiwan. I firmly believe the Chinese Communists realize that the United States is already determined to counter force with force if they should resort to armed aggression once again.

My public statements are often misinterpreted; and I heard they have proved disturbing to Your Excellency. In fact, my true intentions could be ascertained only by reading the full texts of my speeches or statements. I wish to assure Your Excellency today that the United States absolutely has no intention to abandon the Chinese Government under your leadership. For your Government has always been extremely loyal to the common cause of the two countries.

PRESIDENT: I, too, have always considered the United States as the only loyal friend of my country. This faith of mine has never changed since our first meeting at Hankow fifteen years ago. For our two countries have always followed the same path, in practical interest as well as in spirit; and what is an advantage or disadvantage to the United States applies also to China. I wish also to say sincerely that there are two characteristics in the traditional spirit of the Chinese nation: First, in the face of aggressive force, we may suffer defeat as a result of disadvantageous position, but never surrender. Secondly, we base our national policy on the traditional friendship between China and the United States. In diplomatic or military relations, the attitude of my country toward the United States is fundamentally different from that of other countries. We have never employed any diplomatic artifices in dealing with the United States. We have been willing even to sacrifice our own advantage in order to see that the American policies succeed and American security insured. This is because we believe that a prosperous, strong and secure American could be of assistance to China and benefit China eventually, so as to enable her to live and prosper together with America. This comes from the innermost of my heart and is in no sense diplomatic language. Therefore, whatever I have to say henceforth will be based not only on China's interest, but on the interest of the United States. At this time, I would like to state briefly my views as to how China could contribute to the success and security of the United States.

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MR PRESIDENT: Within the Communist bloc, Soviet Russia and her satellites act with strength because they act in unison. In the democratic camp, however, different countries usually put their own self-interest first and therefore fail to work together. In order that the democratic world could effectively counter the Communist bloc, we believe that the other democratic countries must fall in step with the United States even at the expense of their own interest. We are willing to do so to set an example. There is ample truth in what the President said about our endeavor being motivated not only by China's interest, but the interest of the world as a whole.

PRESIDENT: As I mentioned a little while ago, you have achieved eminent success in the Far East ever since you assumed the office of the U.S. Secretary of State. What is especially commendable is your refusal to attend the Geneva Conference when it was resumed and your pushing the Southeast Asia Defense Treaty through to a fruitful end after the partition of Indochina. In this connection, I wish also to observe, however, that American foreign policy as a whole in recent times has suffered from indecision and lack of initiative, although its actions in regard to various matters cannot be said to be incorrect.

Now I would like to discuss with you the matter of the bilateral defense treaty between China and the United States. It is my intention not to try to reach any decision on the matter today, but to take advantage of the opportunity to present my views on the treaty personally. I have been given to understand that the first reason why the United States has hesitated to conclude the treaty is that the Chinese Government is considered in a fluid state and unstable. I am of the opinion, however, that the fluid state of Taiwan is actually the result of American policy. Taiwan would not be looked down upon as in a fluid state if the United States would adopt a stable policy toward us. It is due to the U.S. reluctance to conclude the treaty because of this kind of psychology that countries such as Britain and India have come to demand the admission of the Chinese Communist regime into the United Nations, a U.N. trusteeship for Taiwan and other similar schemes. Should the United States hold onto a definite policy toward us, indicating her determination to uphold lawfulness and justice, Great Britain and India would not be in a position to bring up such "fluid" suggestions again. To put it in another way, if the United States continues to consider Taiwan in a fluid state, American diplomacy would certainly face difficulties at every turn and would be put on the defensive at every turn.

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The Communists could make it impossible for the United States to cope with their repeated threats and provocations. If the United States should adopt a decisive policy toward Taiwan, I am certain none of the non-Communist countries would resume the advocacy of admitting the Chinese Communists to the U.N. or placing Taiwan under trusteeship. Besides, the situation of Taiwan would become further stabilized. A practical manifestation of such a decisive policy would be the conclusion of the proposed Sino-American bilateral treaty. Various quarters consider your visit to Taiwan at this time as evidence of the importance the U.S. Government attaches to Taiwan. But, should your departure from here not lead to the conclusion of the bilateral treaty which is the key to the safety or danger for East Asia, and should no decision concerning the Sino-American treaty follow the signing of the Southeast Asia Defense Treaty, American policy in the Far East would suffer an irreparable damage in the eyes of the far-seeing and the effectiveness of the Southeast Asia Treaty would also be in doubt. The United States has already concluded a bilateral treaty with Japan, a former enemy. There are similar agreements between the United States and Korea and between the United States and the Philippines. But, with China, a war-time ally, the United States has on the contrary felt reluctant to enter into such treaty relations which are primarily political and moral in nature. Such hesitation on the part of the United States has also contributed to the lack of faith on the part of Korea and Japan in working together for the anti-Communist cause. It is not without reason, therefore, that the peoples of Asia, especially the Japanese, still remain unconvinced as to the true capability of the United States to help other countries resist the Communists. Furthermore, as China has suffered the most and the longest from Communist aggression and fought as an ally shoulder to shoulder with America during the war, the United States by concluding such a treaty with China at this time would be giving encouragement to other countries in Asia and helping solidify their anti-Communist position for which they would know they could receive American support. On the other hand, if the United States should refrain from signing the treaty with us, the free countries of Asia would come to feel intimidated by the Communists, believing that the United States would not support any country that is firmly anti-Communist.

I have also been given to understand that the second factor that has prevented the United States from signing the treaty with us is that the conclusion of such a treaty, while Taiwan still remains on war-time

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footing, would involve the United States in the whirlpool of war. The fact is, however, that the proposed bilateral treaty is defensive and not offensive in nature; political and not military. Although there is at present no written agreement between the two countries, our military actions such as raids or invasion against the mainland are nevertheless submitted for previous concurrance by the United States. That we have been fully carrying out even such verbal understanding should prove that we will not unilaterally take any rash action contrary to the policy of the United States; still less do we wish to involve the United States in war. In September 3, the Communists at Amoy shelled our garrison at Kinmen with heavy artillery for as many as 6,000 rounds. Our government believed that we should return fire immediately. But, as the US MAG insisted on asking CinCPac for instructions, we did not take any action until the third day when the agreement of CinCPac had been received. This is an example of our good faith. To explain further, the main reason we would not want to drag the United States into taking any direct part in our counter-offensive against the mainland is that such direct participation even by U.S. naval and air forces would work unfavorably for us; much less do we hope for the participation of U. S. ground forces. For any participation by foreign forces in the counter-offensive on our own land would provide material for Communist propaganda insinuating American military aggression against China, and would even cause opposition by the people on the mainland. Therefore, not only we have no intention to drag American forces into the fight, we would actually refrain from requesting the United States to dispatch American troops to take part. It is my fervent hope that, during your tenure as the Secretary of State and when Mr. Eisenhower remains the President, the United States may carry out a great historical mission, namely, to support our counter-offensive against the mainland with arms and economic and technical aid without participating directly in the war. The recovery of the mainland would mean not only the salvation of the 450,000,000 unfortunate compatriots of mine, but the stabilization of Asia. This would work no harm to the United States and would in fact lead to the culminating success of the American foreign policy. I believe President Eisenhower and your good self are the only persons who could cooperate fully and sincerely to carry out this mission during my tenure of office.

I believe such a policy adopted by the United States

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would also constitute the only hope that a Third World War may be prevented. Under the present international conditions, no one may gainsay a Third World War would not break out eventually. But, if Soviet Russia does not come to the direct help of the Chinese Communists when our counter-offensive is carred onto the mainland, Communist menace in Asia would certainly be completely eliminated as a result of our recovery of the China mainland and the possibility of a World War would in turn be lessened. A firm American policy toward China has therefore an important bearing on the maintenance of world peace.

The third reason for the United States to hesitate to conclude the treaty with us, I am told, is the fear, that, if we should fail in our counter-offensive after the conclusion of the treaty, the security of Taiwan itself may be in danger. I believe such fear is unnecessary. For we shall never lightly speak of counter-offensive unless we are hundred percent sure of its success. The counter-offensive, once started, can afford no failure, only success. No patriotic government should take any rash action in such a matter; and the United States would certainly not befriend a government that would take the destiny of a nation so lightly. Besides, the United States knows very well whether our government is actually in a position to put the counter-offensive into motion. For, obviously, our counter-offensive has no chance of succeeding without adequate American support in arms and in economic and technical aid. But the success of the counter-offensive would undoubtedly be insured if the United States would adopt a definite policy and plan for providing us with continued assistance.

MINISTER YUH: The bilateral treaty and the counter-offensive are distinctly two things. The treaty is purely of political nature and does not refer to counter-offensive.

PRESIDENT: In a word, we cannot conduct the counter-offensive without the concurrence of the United States. But the Communist problem of Asia cannot be solved so long as we do not carry out the counter-offensive. I shall stop here concerning the matter of the bilateral treaty. I would like to hear your views on what I have said.

MR. MILLER: I greatly regret that, due to the brevity of time available, I shall not be able to discuss this matter more thoroughly with Your Excellency. I shall have to leave in another five or ten minutes. However, I consider Your Excellency's discourse as most useful;

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and I sincerely appreciate your asking for my views. First of all, I cannot help feeling that the efficacy of a treaty is somewhat over-estimated here. I recall, in Manila, people of the Philippines were of the opinion that they had an inferior deal to Taiwan. For, in the case of Taiwan which enjoys the joint defense of the 7th Fleet, U.S. naval and air forces would come to action immediately in the event of attack by the Chinese Communists. In the case of the Philippines, the United States could not take any action against attack unless and until constitutional processes are fulfilled. Therefore, the impression I have gained since my arrival is that a treaty is considered here more conducive to security, while other countries which have such treaties believe Taiwan enjoys better security.

PRESIDENT: This is a matter of psychology. For it is generally believed here that the joint defense of Taiwan by the 7th Fleet is based only on an administrative order of the U.S. President, which is subject to revocation at any time. It produces the so-called fluid psychology.

MR. MILLER: Speaking of fluidity, I believe the reason for government here is considered in a fluid state lies in the fact that its jurisdiction extends only to Taiwan, the off-shore islands and some guerilla areas. The United States naturally would like to see the area of control of your government greater. But, under the present circumstance, I am at a loss to decide how the treaty is to be worded insofar as the scope of application is concerned. Should provisions concerning the scope of application be too strict and lack in flexibility, the treaty, if concluded, would actually work contrary to the interest of your country. For, in that case, your action for counter-offensive would be restricted and your people in the guerrilla areas might actually come to feel dissatisfied with your government. Therefore, both our governments perhaps prefer treaty provisions that are relatively fluid.

PRESIDENT: This being a technical problem should not be too hard to solve. The provisions of the Korea-American Treaty and of the Sino-Japanese Peace Treaty could be used as references. Once the principle is settled, the question of scope of application would be no longer exist.

MR. MILLER: It may well be a technical problem. But I am not so sure if this difficulty could be overcome easily.

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There is another point. If the treaty is signed by China and the United States, people in general are bound to believe that the treaty is meant to replace the existing arrangements. The administrative order in regard to joint defense of Taiwan was issued by the U.S. President after the outbreak of the Korean war. Although the truce in Korea has been arranged since President Eisenhower came into office, there is not yet real peace and, technically, Korea is still in a state of war. Thus President Eisenhower was able to reaffirm and to extend the time of validity of the order under which the U.S. naval and air forces may engage the Chinese Communists in battles at any time. If it should be replaced by a treaty, President Eisenhower would indeed not be free to dispatch forces into such battles. For example, under the Southeast Asia Defense Treaty concluded yesterday at Manila, the United States does not consider an attack on other signatories as an attack on the United States itself. Thus the United States cannot automatically come to the direct rescue of other signatories when attacked. However, since Your Excellency considers the existing arrangements as inferior to a treaty, I shall bring the subject up to President Eisenhower when I meet with him the coming Sunday. Personally, I believe the order has the advantage of mobility over a treaty. I am not sure whether the order should be replaced by a treaty and whether such replacing would be in the interest of your government.

PRESIDENT: Since the partition of Indochina, Soviet policy could be summarized in the following three points: First, it resorts to an offensive in political strategy, utilizing a false posture of peace to break up the free world, especially the encircling pressure maintained by the United States. It continues the cold-war offensive to destroy the morale of the free world, in order that the conspiracy for war preparations and for world revolution could be covered up. It employs the revolutionist tactics of retreating one step while advancing two, in order to destroy the solidarity of the democratic bloc. Secondly, the Soviet policy adopts a defensive posture in military strategy by converting hot war into cold war and foreign wars into national strifes, and by overpowering the victims separately through infiltration and division. It gives a defensive appearance while maintaining the offensive substance. Thirdly, as a matter of tactics, it continues to create disturbances, using the two cold-war areas as a lever, one in the East and one in the West. When tension is lessened in the West, it is made to return in the East; when it is relaxed in Northern Asia,

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it will be brought to a near-breaking point in Southern Asia. Thus, by continuously pulling at the nerve-ends of the entire free world and by inducing the free world into a semi-mobilized state, therefore self-paralyzed, Soviet Russia is seeking to carry out its ultimate scheme of world revolution with ease and in due order.

As I have already stated, the United States, in drifting without a plan in regard to her policy toward Taiwan is actually playing into the hands of Soviet Russia. The Communists welcome it; for it provides them with opportunities to create difficulties for the United States. On the other hand, by adopting a firm policy to assist us to fight back to the mainland, the United States would be coming into grip with the heart of the question and would be able to restore the faith the Eastern peoples had in her and American prestige in the East. While present American policies and attitudes are not incorrect, it is to be regretted that the United States is not positive enough in its actions and does not take the initiative. The American policy in Asia also seems to me to lack definite emphasis. This, I hope, the United States Government will speedily remedy. It may be difficult to take the initiative in Europe where the hands of the United States are tied for various reasons. But in Asia where the hands are not tied, I am sure if only the United States decides to follow a firm, clear-cut policy, there should be no difficulty in achieving what she plans to do. I wish to give an example now of the American policy being not positive enough. Six months ago, our government submitted to the U. S. government the plan for building up China's armed forces; it has remained unanswered ever since. Furthermore, some of the military aid items already approved by the U.S. Government have not yet actually arrived after some three years.

Finally, as you are leaving for Japan, I wish to suggest that the United States must exercise pressure to make Japan adopt an anti-Communist position. If left to find its own course, the attitude of the present government may very well lead Japan down the road of neutralist India. Japan is at present the weakest among the democracies in the East and therefore the most fertile ground for Communist activities. If Japan could become firmly anti-Communist, it may be possible for Korea to stop being anti-Japanese and to come to cooperate with Japan. Moreover, a firm American policy of aiding China could also contribute to the close collaboration among the three countries of Korea, China and Japan, which could in turn result in the stabilization of the entire East.

M. DILLS

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MR. DULLES: It is indeed profitable to hear Your Excellency's views which I shall examine most carefully. I have always admired Your Excellency's wisdom and keen observations. I shall not lightly forget or neglect what Your Excellency said today.

PRESIDENT: The decisions for future world problems may have to be made in Europe. But the threat of Communist aggression is at present most serious in Asia and it is in Asia, in my opinion, where the first explosion will occur which will lead to a world conflagration. I sincerely hope that you will direct your attention to this problem for the good of the world as a whole.

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